Part D

Answer the following questions. Each question carries 5 marks.

35. Discuss the differences between Internal Trade and International Trade.
36. Explain briefly the Comparative Cost Theory.
37. Discuss the Modern Theory of International Trade.
38. Explain the types of Terms of Trade given by Viner.
39. Bring out the components of balance of payments account.
40. Discuss the various types of disequilibrium in the balance of payments.
41. How the Rate of Exchange is determined? Illustrate.
42. Mention the advantages of Foreign Direct Investment.

ACTIVITY

1. Students may be brought to any firm or industry which is involved in foreign trade to make them know the different procedures followed and activities done.
2. Students may be grouped as countries and directed to have a look at some available goods to be exchanged between them as if they involve in foreign trade.

12-Economics-Chapter_7.indd 152 23-12-2022 14:44:38